

Questions – Group Case Study #1

Energy Gel: A New Product Introduction (A), #KEL083

In this case you will evaluate Energy's decision on whether to introduce a new product. **Your group report should be written in the form of answers to the below questions using MS Word or MS PowerPoint.** To make things easier for you, I've posted the MS Excel version of the case's tables to Canvas. When finished, please have one member of the group upload your solutions via PDF, MS Word, or MS PowerPoint file to Canvas. I will grade it directly on Canvas.

This group case will be worth 15 points. Each part will be worth 3 points.

In your analysis, please answer the following questions:

1. Do you agree with Wickler's exclusion of selling expenses and G&A expenses in his estimation of expected cash flows in Exhibit 5? Why or why not? If so, what might be one way to estimate the selling expenses of the project? [**Note:** For this question, and others you will not get full credit unless you explain why you recommend what you do].
2. Where did the projected 2001 R&D expenses of \$2.5 million in Exhibit 5 come from, and do you agree with Wickler's inclusion of it? Why or why not?
3. Should Wickler include potential cannibalization in his estimates and why? If so, how?
4. Do you agree with Leiter's outrage that the excess capacity is being treated as "free" in Wickler's estimated costs, and do you agree with Nanzen's recommendation of accounting for the costs of the excess capacity using a pro rata approach? Why?
5. Using the above, calculate the incremental FCF of the project in 2001. [*It is not necessary to calculate the FCF for other years... Just 2001*]

For simplicity, you can make the following assumptions in your analysis:

- In calculating your FCFs, you should assume that any immediate costs needed to get the project started occur in 2000 (as shown in Exhibit 5), and the sales start in 2001.
- In Exhibit 5, you should assume that "Project costs" is the "Gross Fixed Assets" of the project, and "Invested capital in fixed assets" is the "Net Fixed Assets". Moreover, you should assume that the gross fixed assets and net fixed assets were both 3.5 in 2000.
- You should assume that net working capital in the year 2000 is zero.

Additional Discussion Points (not to be turned in):

1. Before discussing the above questions in class, we will first review why we typically don't want to use either of the ROIC or payback period valuation methods mentioned in the case. If your group finishes early and wants to think about this, please do so.
2. After discussing the above questions in class, we will then discuss why there might have been outrage among the different workers and how the firm might facilitate collaboration in this setting by clarifying the firm's organizational values and designing rewards appropriately. If your group finishes early, please discuss this as well.